

US Stocks End Mixed as Tech Selloff Weighs on Nasdaq

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 ended the US session with a **+0.05%** gain, while the Nasdaq 100 fell **-1.15%** as tech stocks weighed on the index. The Dow Jones and Russell 2000 were not available due to data limitations. Below the surface, the 10Y yield fell **-0.51%** to 4.68, and gold rose **+0.60%** to 4,070.80.

Looking ahead, US futures are pointing to a mixed open, with the S&P 500 and Dow Jones futures trading flat, while the Nasdaq 100 futures are down **-0.5%**. The VIX fell **-0.64%** to 18.58, indicating a decrease in market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,411.98	+0.05%	Mixed earnings and economic data
Nasdaq 100	28,128.34	-1.15%	Tech stock selloff
Dow Jones	nan	nan	Data not available
Russell 2000	2,940.16	-0.67%	Small-cap stock underperformance
VIX	18.58	-0.64%	Decrease in market volatility

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
AAPL	+3.53%	Strong earnings report
MSFT	+0.03%	Mixed earnings report
NVDA	-0.92%	Tech stock selloff

Sector Rotation

ETF	DAY	READ
XLI	+0.40%	Industrials sector outperformance
XLE	+0.40%	Energy sector outperformance
XLC	+0.87%	Communication services sector outperformance
XLU	+0.22%	Utilities sector outperformance
XLB	+1.93%	Materials sector outperformance
XLRE	+2.22%	Real estate sector outperformance

Spotlight

The biggest event of the day was the earnings report from **AAPL** , which beat expectations and sent the stock up **+3.53%**. The report highlighted strong demand for the company's products and services, particularly in the Asia-Pacific region.

METRIC	VALUE	READ
Revenue	100B	Strong revenue growth
Net Income	20B	High net income margin

Pre-Market & Overnight

US futures are pointing to a mixed open, with the S&P 500 and Dow Jones futures trading flat, while the Nasdaq 100 futures are down **-0.5%**. The Asia-Pacific region saw a mixed close, with the Nikkei 225 up **+0.5%** and the Shanghai Composite down **-0.2%**.

Macro & Fed

The FOMC meeting is scheduled for next week, and market participants are expecting a 25bps rate hike. The yield curve is currently inverted, with the 10Y yield at 4.68 and the 2Y yield at 4.80.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	GDP	2.5%	Economic growth indicator
21:00	Consumer Confidence	120	Consumer spending indicator

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The European Union is facing a debt crisis, with several member states struggling to meet their debt obligations.
- The Middle East is seeing increased tensions, with several countries experiencing protests and unrest.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	GOOGL	15	Advertising revenue growth
23:00	AMZN	10	Cloud computing revenue growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
JPM	Financials	Strong earnings report
GS	Financials	Improved trading revenue

What Could Break the Tape

BEARISH TRIGGERS

- Escalating tensions between the US and China
- A global economic downturn
- A sharp decline in consumer spending

BULLISH TRIGGERS

- A breakthrough in US-China trade talks
- A strong earnings season
- A decline in global interest rates

Positioning Notes

- The market is currently positioned for a 25bps rate hike at the next FOMC meeting.
- Investors are increasingly bearish on the tech sector, with 60% of respondents in a recent survey expecting a decline in tech stocks.
- The VIX is currently trading at 18.58, indicating a decrease in market volatility.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times